October 22, 2026 01:11 AM GMT

Lam Research Corp | North America

Component shortages vs cycle longevity

WHAT'S CHANGED

	From	To
Lam Research Corp (LRCX.O)		
Price Target	$385.00	**$339.00**

AlphaSignals Earnings Reaction

Unchanged	**In-line**	**Modest revision higher**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

LAM's expectations miss is undoubtedly a negative. However, taking a step back, we would argue that this print represents an important expectations reset for SPE.

Key Takeaways

- DecQ miss vs. MSe partly attributable to supply chain constraints, which we believe are concentrated in MFCs.

What happened? We had previewed a meaningful beat and raise, but we were wrong, as LAM guided DecQ revenue to $8.6bn vs. MSe at $9bn/Street at $8.6bn. LAM also guided CY2026 WFE to the mid-$150bn range and provided a preliminary CY2027 WFE outlook of $200bn+ (vs. MSe at $163bn/$223bn). **What did we get wrong?** At SEMICON West (SEMICON West Recap (19 Oct 2026)), for the first time in this upcycle, we heard tangible examples of component shortages and order pushouts. On the supply side, PCBs appear to be emerging as a bottleneck, creating challenges in assembling Mass Flow Controllers (MFCs). On the demand side, we heard of a DRAM customer pushing out order deliveries from the DecQ to the MarQ due to delays in cleanroom readiness. However, we underestimated the near-term impact of these constraints on SPE OEMs. On the supply side, given that SEMICON West was the first time we had heard of supplier constraints, we assumed OEMs had sufficient inventory to bridge the gap, making shortages more likely to impact 1H27 rather than the DecQ. On the demand side, given the strength of underlying demand, we assumed other customers could fill the gap left by the DRAM pushout. We were wrong on the timing, as LAM acknowledged that its "(DecQ) revenue guide would have been a bit higher if not for some near supply chain constraints that we are actively managing."

Component shortages are bad, but perhaps not for the longer term. The industry has grown from a ~$125bn annualized WFE run rate to ~$200bn in just four quarters (4Q25 to 4Q26). Given the magnitude of upside delivered through 2026 (MSe revised up 26%), the market narrative has shifted from "How can companies deliver upside?" to "Why wouldn't companies continue to deliver upside?" We went

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Lam Research Corp (LRCX.O, LRCX US)

Semiconductor Capital Equipment | United States of America

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	**$339.00**
Shr price, close (Oct 21, 2026)	$260.81
Mkt cap, curr (mm)	$327,551
52-Week Range	$438.50-135.50

Fiscal Year Ending	06/26	06/27e	06/28e	06/29e
EPS ($)**	5.82	9.85	12.81	14.86
Prior EPS ($)**	-	10.04	13.01	14.96
P/E	74.4	26.5	20.4	17.6
EPS ($)§	5.69	9.47	11.90	13.95
Div yld (%)	0.2	0.5	0.5	0.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS ($)

Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	1.27	-	2.20a	3.00	2.94
Q2	1.27	2.42	2.35	3.11	3.06
Q3	1.47	2.62	2.54	3.36	3.32
Q4	1.82	2.84	2.75	3.54	3.50

e = Morgan Stanley Research estimates, a = Actual Company reported data

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into SEMICON West expecting to raise forecasts again, but LAM's earnings served as a reminder that ramping the supply chain this quickly is a herculean task. There's no denying that an "expectations miss" is negative (and we bear some responsibility for those expectations), but our positive view on WFE has always been underpinned by the longevity of the cycle, supported by both demand-side (cleanroom) and supply-side (supply chain) constraints. *If anything, LAM's earnings reinforced our conviction in 2028, as these constraints may prevent the industry from overshooting to the upside in 2027, ultimately extending the cycle.*

SLC NAND's impact on supply. LAM commented that the "SLC storage tier could become a meaningful driver of NAND wafer capacity" and that "for each percentage point mix shift of NAND bits to SLC-class devices, approximately 2% more installed wafer capacity will be needed to support the same bit demand." This is meaningful given that our 2028 forecast currently assumes 0% SLC mix (64% TLC, 36% QLC). If we increase our assumed SLC mix to 5% (5% SLC, 64% TLC, 31% QLC), our 2028 bit supply growth forecast declines from 25% to 23%. A further increase in SLC mix to 10% would reduce our forecast to 21%, highlighting the potential supply constraints from greater SLC adoption.

Changes to our estimates: We fine-tune our CY27 forecasts from $40.5bn/$11.58 to $39.8bn/$11.29, reflecting a modest reduction in our systems shipment growth forecast from 47% to 45% and a higher tax rate assumption of 16.3% vs. 14.2% previously. Our CY28 forecasts remain largely unchanged at $47.6bn/$14.13. By end-market, our CY27 growth ranking shifts from FL > NAND > DRAM to FL > DRAM > NAND, reflecting the meaningful NAND beat vs. MSe in the SepQ and corresponding DRAM miss. As a result, we raise our CY26 NAND growth forecast from 56% to 76%, while lowering our DRAM growth forecast from 95% to 74%.

Thoughts on the stock. LAM's expectations miss is undoubtedly a negative. However, taking a step back, we would argue that this print represents an important expectations reset for SPE, with sentiment likely to shift from "why wouldn't companies continue to deliver upside?" to "what could constrain further upside?" We view the emergence of these constraints as a positive read-across for sub-system suppliers, as they are likely to drive inventory builds across OEMs. Thus far in the upcycle, OEMs have outpaced suppliers, largely through inventory drawdowns, but we expect this dynamic to reverse over the coming quarters. We lower our target multiple from 27x to 24x, a 15% premium to LAM's average since 2020, which brings down our PT from $385 to $339.

Risk Reward – Lam Research Corp (LRCX.O)

WFE outperformance intact with NAND & Logic

PRICE TARGET $339.00

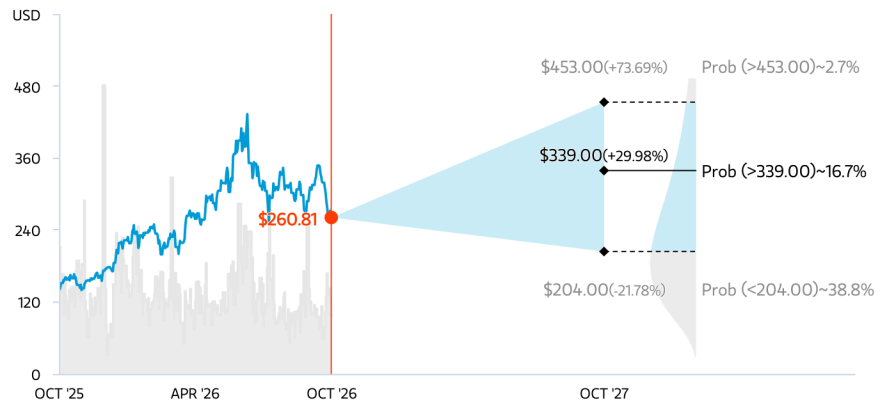
24x CY28 non-GAAP EPS of $14.13, a 15% premium to average since 2020

Consensus Price Target Distribution $213.00 — $370.58 (MS PT) — $500.00

Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 21 Oct 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

■ After shipments underperformed WFE by 33ppt in 2023 due to a cyclical decline in NAND and China entity list impact, LAM outperformed WFE by 8ppt in 2024 and we estimate another 27ppt outperformance in 2025 driven by NAND, China, and TSMC. We model LAM's system shipments to outperform WFE in 2026 & 2027 for the 3rd and 4th consecutive year as NAND and non-China foundry logic continues to strengthen.

■ LAM has unique drivers supporting the long-term growth story as the company is seeing gross margin expansion from shifting manufacturing to Malaysia, is positioned well to gain share with the 4F2 transition in DRAM and in advanced packaging.

Consensus Rating Distribution

● 88% Overweight
12% Equal-weight
0% Underweight
● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $453.00

~28x CY28 non-GAAP EPS $16.18

DRAM and NAND pricing and utilization improve further than expected, and LAM sees record revenue in CY27. The company sees revenue growth exceed WFE on the back of market share gains in leading edge nodes.

- Revenue growth of 32.8% in CY28 as LAM benefits from NAND WFE growth and market share gains

- GM expands to 54.9% in CY28

BASE CASE $339.00

~24x CY28 non-GAAP EPS of $14.13

We expect LAM to outperform in 2026-27 on the back of NAND and foundry logic strength.

– Revenue growth of 19.6% in CY28 driven by NAND and foundry logic

- CY28 GM of 53.9% as regional mix deterioration is offset by top-line growth

BEAR CASE $204.00

~16x CY28 non-GAAP EPS of $12.76

Memory markets turn weaker and LAM loses share to competitors.

- Revenue growth of 10.7% in CY28 as memory recovery more muted than expected

- GM of 53.1% in CY28

Risk Reward – Lam Research Corp (LRCX.O)

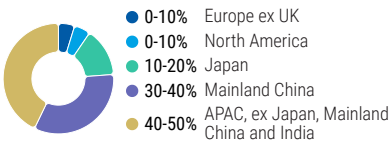
KEY EARNINGS INPUTS

Drivers	Jun 2026	Jun 2027e	Jun 2028e	Jun 2029e
GAAP Revenue ($, mm)	23,233	35,815	44,009	49,430
MW Gross Margin (%)	50.6	52.6	53.6	54.0
Non-GAAP EPS ($)	5.82	9.85	12.81	14.86
Inventory ($, mm)	4,276	4,970	5,639	5,613
DOI	133.8	105.4	99.4	88.9

INVESTMENT DRIVERS

- NAND WFE market trends (LAM has outsized share)
- Market share gains from new logic architectures (GAA, backside power)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Market share gains in new logic architectures (GAA, backside power)
- NAND capex recovers to new highs
- Continued share gains in China

RISKS TO DOWNSIDE

- NAND WFE weaker than expected
- Widespread export restrictions to China
- Market share loss to competitors in etch

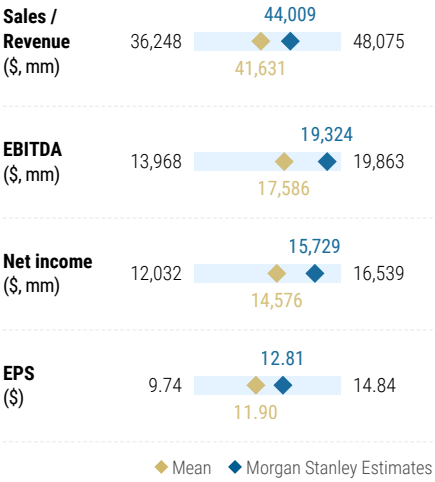
OWNERSHIP POSITIONING

Inst. Owners, % Active	48.3%
HF Sector Long/Short Ratio	2.2x
HF Sector Net Exposure	30.6%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2028e



Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 1: Earnings Snapshot

LRCX-US: Snapshot for the quarter ended September 2026

Income Statement									
Qtr Results:	Actual			Lst Qtr	QoQ	Lst Yr	YoY	Consensus	MSe
Revenue	$8,219.4			$6,722.2	*22.3%*	$5,324.2	*54.4%*	$8,141.8	$8,131.6
Gross Margin	*52.3%*			*52.0%*	27 bps	*50.6%*	171 bps	*51.9%*	*52.0%*
EPS*	$2.20			$1.82	$0.38	$1.27	$0.93	$2.18	$2.16
Nxt Qtr Outlook:	Low	High	Midpoint						
Revenue	$8,200	$9,000	$8,600		*4.6%*	$5,344.8	*60.9%*	$8,566.2	$9,000.8
Gross Margin	*51.5%*	*53.5%*	*52.5%*		20 bps	*49.8%*	273 bps	*51.6%*	*52.3%*
EPS*	$2.18	$2.48	$2.33		$0.13	$1.27	$1.06	$2.33	$2.42

**EPS excludes stock-based compensation and extraordinary one-time items*

Source: Company data, Morgan Stanley Research estimates

Exhibit 2: Income Statement Variance

Non-GAAP financials, $ in Millions except per share	Reported 1FQ27	MS Est 1FQ27	Difference Act. V Est.	Per share Difference
Total Revenue	8,219.4	8,131.6	87.8	29.29
Cost of Sales	3,914.4	3,903.2	11.2	(3.74)
Gross Profit	4,305.0	4,228.5	76.6	25.55
Gross Margin	52.4%	52.0%	0.4%	
R&D	660.1	686.1	(26.1)	8.69
SG&A	344.2	320.9	23.3	(7.77)
Other Opex (inc)	0.0	0.0	0.0	NM
Total Op Expenses	1,004.3	1,007.1	(2.8)	0.93
Operating Income	3,300.7	3,221.4	79.3	26.47
Operating Margin	40.2%	39.6%	0.5%	
Income tax	548.5	485.8	62.6	(20.90)
Net Income	2,768.4	2,704.8	63.7	21.24
EPS	$2.20	$2.16	$0.05	0.05
Diluted Shares Out.	1,255.8	1,252.8	3.0	

Source: Company data, Morgan Stanley Research estimates

Projected Financial Statements

Exhibit 3: LRCX: Projected Income Statement

Lam Research Corporation Income Statement *($ in millions; fiscal year ends in June)*	C3Q25A Sep-25	C4Q25A Dec-25	C1Q26A Mar-26	C2Q26A Jun-26	C3Q26A Sep-26	C4Q26E Dec-26	C1Q27E Mar-27	C2Q27E Jun-27	C3Q27E Sep-27	C4Q27E Dec-27	C1Q28E Mar-28	C2Q28E Jun-28	CY2024 Dec-24	CY2025 Dec-25	CY2026 Dec-26	CY2027 Dec-27	CY2028 Dec-28
Revenues - GAAP	**$ 5,324.2**	**$ 5,344.8**	**$ 5,841.5**	**$ 6,722.2**	**$ 8,219.4**	**$ 8,642.9**	**$ 9,193.6**	**$ 9,758.7**	**$ 10,279.6**	**$ 10,566.7**	**$ 11,297.6**	**$ 11,864.7**	**$ 16,209.1**	**$ 20,560.5**	**$ 29,426.1**	**$ 39,798.6**	**$ 47,616.6**
q/q change (%)	*3.0%*	*0.4%*	*9.3%*	*15.1%*	*22.3%*	*5.2%*	*6.4%*	*6.1%*	*5.3%*	*2.8%*	*6.9%*	*5.0%*					
y/y change (%)	*27.7%*	*22.1%*	*23.8%*	*30.0%*	*54.4%*	*61.7%*	*57.4%*	*45.2%*	*25.1%*	*22.3%*	*22.9%*	*21.6%*	*13.2%*	*26.8%*	*43.1%*	*35.2%*	*19.6%*
COGS - GAAP	2,639.3	2,693.6	2,931.0	3,243.5	3,920.6	4,113.6	4,350.8	4,588.9	4,803.0	4,905.4	5,222.2	5,484.3	8,492.8	10,321.1	14,208.6	18,648.1	21,961.3
% of revenue	*49.6%*	*50.4%*	*50.2%*	*48.3%*	*47.7%*	*47.6%*	*47.3%*	*47.0%*	*46.7%*	*46.4%*	*46.2%*	*46.2%*	*52.4%*	*50.2%*	*48.3%*	*46.9%*	*46.1%*
COGS - non-GAAP	2,630.6	2,684.9	2,928.4	3,224.9	3,914.4	4,107.5	4,350.8	4,588.9	4,803.0	4,905.4	5,222.2	5,484.3	8,398.8	10,293.7	14,175.1	18,648.1	21,961.3
% of revenue	*49.4%*	*50.2%*	*50.1%*	*48.0%*	*47.6%*	*47.5%*	*47.3%*	*47.0%*	*46.7%*	*46.4%*	*46.2%*	*46.2%*	*51.8%*	*50.1%*	*48.2%*	*46.9%*	*46.1%*
Gross profit - GAAP	**2,684.9**	**2,651.2**	**2,910.5**	**3,478.7**	**4,298.9**	**4,529.3**	**4,842.8**	**5,169.8**	**5,476.6**	**5,661.2**	**6,075.4**	**6,380.4**	**7,716.3**	**10,239.4**	**15,217.4**	**21,150.4**	**25,655.3**
Gross margin (%)	*50.4%*	*49.6%*	*49.8%*	*51.7%*	*52.3%*	*52.4%*	*52.7%*	*53.0%*	*53.3%*	*53.6%*	*53.8%*	*53.8%*	*47.6%*	*49.8%*	*51.7%*	*53.1%*	*53.9%*
Gross profit - non-GAAP	**2,693.6**	**2,659.9**	**2,913.1**	**3,497.3**	**4,305.0**	**4,535.5**	**4,842.8**	**5,169.8**	**5,476.6**	**5,661.2**	**6,075.4**	**6,380.4**	**7,810.3**	**10,266.8**	**15,251.0**	**21,150.4**	**25,655.3**
Gross margin (%)	*50.6%*	*49.8%*	*49.9%*	*52.0%*	*52.4%*	*52.5%*	*52.7%*	*53.0%*	*53.3%*	*53.6%*	*53.8%*	*53.8%*	*48.2%*	*49.9%*	*51.8%*	*53.1%*	*53.9%*
R&D - GAAP	576.4	573.3	583.2	642.9	666.4	689.8	715.4	744.7	779.3	790.5	833.9	875.7	2,000.4	2,255.8	2,582.3	3,029.8	3,502.3
R&D - non-GAAP	565.6	565.3	585.4	614.3	660.1	689.8	715.4	744.7	779.3	790.5	833.9	875.7	1,959.9	2,228.8	2,549.6	3,029.8	3,502.3
% of revenue	*10.6%*	*10.6%*	*10.0%*	*9.1%*	*8.0%*	*8.0%*	*7.8%*	*7.6%*	*7.6%*	*7.5%*	*7.4%*	*7.4%*	*12.1%*	*10.8%*	*8.7%*	*7.6%*	*7.4%*
SG&A - GAAP	279.3	267.7	280.3	322.3	348.7	353.3	362.0	374.5	384.2	389.6	410.9	419.7	919.7	1,041.4	1,304.6	1,510.3	1,683.5
SG&A - non-GAAP	266.3	262.1	280.7	302.1	344.2	348.7	357.4	369.9	379.6	385.1	406.4	415.2	883.5	1,016.3	1,275.8	1,492.1	1,665.3
% of revenue	*5.0%*	*4.9%*	*4.8%*	*4.5%*	*4.2%*	*4.1%*	*3.9%*	*3.8%*	*3.7%*	*3.7%*	*3.6%*	*3.5%*	*5.5%*	*4.9%*	*4.3%*	*3.7%*	*3.5%*
Operating expenses - GAAP	855.8	841.0	863.5	965.3	1,015.1	1,043.1	1,077.3	1,119.2	1,163.5	1,180.1	1,244.8	1,295.4	2,934.5	3,297.3	3,887.0	4,540.1	5,185.8
Operating expenses - non-GAAP	831.9	827.5	866.2	916.4	1,004.3	1,038.5	1,072.8	1,114.6	1,158.9	1,175.6	1,240.3	1,290.9	2,843.5	3,245.1	3,825.4	4,521.9	5,167.6
q/q change (%)	*1.2%*	*-0.5%*	*4.7%*	*5.8%*	*9.6%*	*3.4%*	*3.3%*	*3.9%*	*4.0%*	*1.4%*	*5.5%*	*4.1%*	*14.6%*	*14.1%*	*17.9%*	*18.2%*	*14.3%*
% of revenue	*15.6%*	*15.5%*	*14.8%*	*13.6%*	*12.2%*	*12.0%*	*11.7%*	*11.4%*	*11.3%*	*11.1%*	*11.0%*	*10.9%*	*17.5%*	*15.8%*	*13.0%*	*11.4%*	*10.9%*
Operating income - GAAP	**1,829.1**	**1,810.2**	**2,047.0**	**2,513.5**	**3,283.7**	**3,486.3**	**3,765.5**	**4,050.6**	**4,313.1**	**4,481.1**	**4,830.6**	**5,085.0**	**4,781.8**	**6,942.2**	**11,330.5**	**16,610.3**	**20,469.5**
Operating margin (%)	*34.4%*	*33.9%*	*35.0%*	*37.4%*	*40.0%*	*40.3%*	*41.0%*	*41.5%*	*42.0%*	*42.4%*	*42.8%*	*42.9%*	*29.5%*	*33.8%*	*38.5%*	*41.7%*	*43.0%*
Operating income - non-GAAP	**1,861.7**	**1,832.4**	**2,047.0**	**2,580.9**	**3,300.7**	**3,497.0**	**3,770.0**	**4,055.2**	**4,317.6**	**4,485.6**	**4,835.1**	**5,089.5**	**4,966.8**	**7,021.7**	**11,425.6**	**16,628.5**	**20,487.7**
Operating margin (%)	*35.0%*	*34.3%*	*35.0%*	*38.4%*	*40.2%*	*40.5%*	*41.0%*	*41.6%*	*42.0%*	*42.5%*	*42.8%*	*42.9%*	*30.6%*	*34.2%*	*38.8%*	*41.8%*	*43.0%*
Total interest income (net) and other income - GAAP	30.1	26.4	(35.5)	41.7	28.5	28.5	28.5	28.5	28.5	28.5	28.5	28.5	108.2	69.3	63.2	114.0	114.0
Interest income (expense)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other income (expense), net	30.1	26.4	(35.5)	41.7	28.5	28.5	28.5	28.5	28.5	28.5	28.5	28.5	108.2	69.3	63.2	114.0	114.0
Total interest income (net) and other income - non-GAA	14.1	10.5	(7.5)	(19.2)	16.1	16.1	16.1	16.1	16.1	16.1	16.1	16.1	53.2	21.7	5.6	64.5	64.5
PBT - GAAP	**1,859.2**	**1,836.6**	**2,011.6**	**2,555.1**	**3,312.2**	**3,514.7**	**3,794.0**	**4,079.1**	**4,341.6**	**4,509.6**	**4,859.1**	**5,113.5**	**4,890.0**	**7,011.5**	**11,393.7**	**16,724.3**	**20,583.5**
% of revenue	*34.9%*	*34.4%*	*34.4%*	*38.0%*	*40.3%*	*40.7%*	*41.3%*	*41.8%*	*42.2%*	*42.7%*	*43.0%*	*43.1%*	*30.2%*	*34.1%*	*38.7%*	*42.0%*	*43.2%*
PBT - non-GAAP	**1,875.8**	**1,842.9**	**2,039.4**	**2,561.7**	**3,316.9**	**3,513.1**	**3,786.2**	**4,071.3**	**4,333.8**	**4,501.8**	**4,851.3**	**5,105.6**	**5,020.0**	**7,043.4**	**11,431.2**	**16,693.0**	**20,552.2**
Income tax expense (benefit) - GAAP	290.5	242.6	186.1	277.9	559.1	579.9	626.0	673.1	716.4	744.1	801.7	843.7	596.4	798.1	1,603.0	2,759.5	3,396.3
Income tax expense (benefit) - non-GAAP	264.8	243.6	188.0	281.8	548.5	569.3	615.4	662.4	705.7	733.5	791.1	833.1	632.4	799.4	1,587.5	2,717.0	3,353.8
Effective tax rate (%)	*14.1%*	*13.2%*	*9.2%*	*11.0%*	*16.5%*	*16.2%*	*16.3%*	*16.3%*	*16.3%*	*16.3%*	*16.3%*	*16.3%*	*12.6%*	*11.3%*	*13.9%*	*16.3%*	*16.3%*
Net income, cont. ops. - GAAP	**1,568.7**	**1,594.0**	**1,825.5**	**2,277.3**	**2,753.1**	**2,934.8**	**3,168.0**	**3,406.1**	**3,625.2**	**3,765.5**	**4,057.3**	**4,269.7**	**4,293.6**	**6,213.4**	**9,790.7**	**13,964.8**	**17,187.2**
Net income, cont. ops. - non-GAAP	**1,611.1**	**1,599.2**	**1,851.4**	**2,280.0**	**2,768.4**	**2,943.8**	**3,170.8**	**3,408.9**	**3,628.0**	**3,768.3**	**4,060.2**	**4,272.5**	**4,387.6**	**6,244.0**	**9,843.6**	**13,976.0**	**17,198.4**
Net margin (%)	*30.3%*	*29.9%*	*31.7%*	*33.9%*	*33.7%*	*34.1%*	*34.5%*	*34.9%*	*35.3%*	*35.7%*	*35.9%*	*36.0%*	*27.1%*	*30.4%*	*33.5%*	*35.1%*	*36.1%*
EPS - GAAP	$ 1.24	$ 1.26	$ 1.45	$ 1.81	$ 2.19	$ 2.35	$ 2.54	$ 2.74	$ 2.93	$ 3.06	$ 3.31	$ 3.50	$ 3.29	$ 4.88	$ 7.80	$ 11.28	$ 14.12
EPS - non-GAAP	**$ 1.27**	**$ 1.27**	**$ 1.47**	**$ 1.82**	**$ 2.20**	**$ 2.35**	**$ 2.54**	**$ 2.75**	**$ 2.94**	**$ 3.06**	**$ 3.32**	**$ 3.50**	**$ 3.36**	**$ 4.90**	**$ 7.84**	**$ 11.29**	**$ 14.13**

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: LRCX: Projected Balance Sheet

Lam Research Corporation Balance Sheet *($ in millions; fiscal year ends in June)*	C3Q25A Sep-25 2026/1F	C4Q25A Dec-25 2026/2F	C1Q26A Mar-26 2026/3F	C2Q26A Jun-26 2026/4F	C3Q26A Sep-26 2027/1F	C4Q26E Dec-26 2027/2F	C1Q27E Mar-27 2027/3F	C2Q27E Jun-27 2027/4F	C3Q27E Sep-27 2028/1F	C4Q27E Dec-27 2028/2F	C1Q28E Mar-28 2028/3F	C2Q28E Jun-28 2028/4F	CY2024 Dec-24	CY2025 Dec-25	CY2026 Dec-26	CY2027 Dec-27	CY2028 Dec-28
Assets:																	
Cash and cash equivalents	6,693.0	6,180.4	4,750.9	5,579.2	7,437.4	7,050.9	7,599.3	8,940.8	9,301.1	10,780.0	10,849.5	13,275.8	5,665.4	6,180.4	7,050.9	10,780.0	16,819.4
Marketable securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivable, net	3,633.0	3,492.0	4,132.9	5,339.7	5,658.4	5,906.4	6,668.6	6,532.7	7,222.0	6,916.8	8,535.9	7,514.2	3,304.9	3,492.0	5,906.4	6,916.8	7,666.0
Inventory	4,095.1	4,037.7	4,000.0	4,276.1	4,550.5	4,630.6	4,764.7	4,970.3	5,145.7	5,255.4	5,428.9	5,638.8	4,358.2	4,037.7	4,630.6	5,255.4	5,749.6
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current assets	385.6	307.9	413.1	415.7	477.8	477.8	477.8	477.8	477.8	477.8	477.8	477.8	284.4	307.9	477.8	477.8	477.8
Total current assets	**14,806.7**	**14,018.0**	**13,296.9**	**15,610.7**	**18,124.1**	**18,065.7**	**19,510.4**	**20,921.6**	**22,146.5**	**23,430.0**	**25,292.1**	**26,906.6**	**13,612.8**	**14,018.0**	**18,065.7**	**23,430.0**	**30,712.8**
PP&E, net	2,510.5	2,711.0	2,853.6	2,956.5	3,126.0	3,274.9	3,435.3	3,609.2	3,792.9	3,978.8	4,180.8	4,393.0	2,313.6	2,711.0	3,274.9	3,978.8	4,816.6
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Long-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Goodwill	1,688.4	1,725.5	1,743.5	1,757.3	1,773.0	1,773.0	1,773.0	1,773.0	1,773.0	1,773.0	1,773.0	1,773.0	1,622.5	1,725.5	1,773.0	1,773.0	1,773.0
Intangible assets, net	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5	138.5
Other non-current assets	2,756.0	2,798.1	2,759.4	3,066.7	3,191.4	3,191.4	3,191.4	3,191.4	3,191.4	3,191.4	3,191.4	3,191.4	2,152.5	2,798.1	3,191.4	3,191.4	3,191.4
Total assets	**21,900.2**	**21,391.2**	**20,791.9**	**23,529.7**	**26,353.1**	**26,443.6**	**28,048.6**	**29,633.6**	**31,042.3**	**32,511.8**	**34,575.8**	**36,402.6**	**19,839.9**	**21,391.2**	**26,443.6**	**32,511.8**	**40,632.3**
Liabilities & Shareholders' Equity:																	
Accounts payable	863.2	1,026.9	1,071.6	1,302.5	1,302.5	1,430.7	1,524.3	1,558.2	1,633.0	1,626.3	1,920.6	1,763.4	822.3	1,026.9	1,430.7	1,626.3	1,798.1
Accrued expenses and other current liabilities	2,443.9	2,267.5	2,075.4	2,351.5	2,351.5	2,351.5	2,351.5	2,351.5	2,351.5	2,351.5	2,351.5	2,351.5	2,096.0	2,267.5	2,351.5	2,351.5	2,351.5
Deferred profit	2,646.4	2,164.7	2,091.3	2,279.2	2,279.2	2,279.2	2,279.2	2,279.2	2,279.2	2,279.2	2,279.2	2,279.2	1,927.9	2,164.7	2,279.2	2,279.2	2,279.2
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	1,375.8	-	-	-	-	-	-	-	-	-	-	-	-
Current portion of long-term debt	754.4	754.0	4.1	4.1	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	504.1	754.0	3.5	3.5	3.5
Total current liabilities	**6,707.9**	**6,213.2**	**5,242.4**	**5,937.2**	**7,312.5**	**6,064.9**	**6,158.5**	**6,192.4**	**6,267.2**	**6,260.5**	**6,554.8**	**6,397.6**	**5,350.3**	**6,213.2**	**6,064.9**	**6,260.5**	**6,432.3**
Long-term debt	3,729.6	3,729.7	3,730.4	3,730.5	3,732.0	3,732.0	3,732.0	3,732.0	3,732.0	3,732.0	3,732.0	3,732.0	4,478.1	3,729.7	3,732.0	3,732.0	3,732.0
Deferred profit, non-current	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Income taxes payable	646.0	667.6	621.6	681.2	684.3	684.3	684.3	684.3	684.3	684.3	684.3	684.3	669.7	667.6	684.3	684.3	684.3
Other long-term liabilities	623.9	635.2	612.8	709.9	715.9	715.9	715.9	715.9	715.9	715.9	715.9	715.9	533.7	635.2	715.9	715.9	715.9
Minority interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total liabilities	**11,707.5**	**11,245.7**	**10,207.1**	**11,058.8**	**12,444.6**	**11,197.0**	**11,290.6**	**11,324.5**	**11,399.3**	**11,392.6**	**11,686.8**	**11,529.7**	**11,031.9**	**11,245.7**	**11,197.0**	**11,392.6**	**11,564.4**
Preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Common stock	1.3	1.3	1.3	1.3	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	1.3	1.3	5.5	5.5	5.5
Additional paid-in capital	8,794.5	8,948.4	9,054.2	9,244.4	9,359.1	9,473.8	9,588.5	9,703.2	9,835.1	9,967.0	10,098.9	10,230.8	8,439.9	8,948.4	9,473.8	9,967.0	10,521.0
Total share capital	**8,795.8**	**8,949.7**	**9,055.5**	**9,245.7**	**9,364.7**	**9,479.4**	**9,594.1**	**9,708.7**	**9,840.6**	**9,972.5**	**10,104.4**	**10,236.3**	**8,441.2**	**8,949.7**	**9,479.4**	**9,972.5**	**10,526.5**
Treasury stock	(28,759.5)	(30,203.8)	(31,347.7)	(31,597.9)	(32,622.9)	(34,022.9)	(35,422.9)	(37,022.9)	(39,022.9)	(41,022.9)	(43,022.9)	(45,022.9)	(26,024.1)	(30,203.8)	(34,022.9)	(41,022.9)	(49,022.9)
Temporary equity, convertible notes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Retained earnings (accumulated deficit)	30,230.1	31,498.2	32,998.4	34,950.3	37,378.0	39,940.2	42,737.0	45,773.4	48,975.4	52,319.6	55,957.5	59,809.5	26,525.0	31,498.2	39,940.2	52,319.6	67,714.4
Accumulated other comprehensive income (loss)	(73.6)	(98.7)	(121.4)	(127.1)	(150.1)	(150.1)	(150.1)	(150.1)	(150.1)	(150.1)	(150.1)	(150.1)	(134.1)	(98.7)	(150.1)	(150.1)	(150.1)
Plug for earnings					(61.2)								-	-	-	-	-
Total shareholders' equity	**10,192.8**	**10,145.4**	**10,584.8**	**12,470.9**	**13,908.5**	**15,246.6**	**16,758.1**	**18,309.1**	**19,643.0**	**21,119.2**	**22,889.0**	**24,872.8**	**8,808.0**	**10,145.4**	**15,246.6**	**21,119.2**	**29,067.9**
Total liabilities & shareholders' equity	**21,900.2**	**21,391.2**	**20,791.9**	**23,529.7**	**26,353.1**	**26,443.6**	**28,048.6**	**29,633.6**	**31,042.3**	**32,511.8**	**34,575.8**	**36,402.6**	**19,839.9**	**21,391.2**	**26,443.6**	**32,511.8**	**40,632.3**

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: LRCX: Projected Cash Flow Statement

Lam Research Corporation Cash Flow Statement *($ in millions; fiscal year ends in June)*	C3Q25A Sep-25 2026/1F	C4Q25A Dec-25 2026/2F	C1Q26A Mar-26 2026/3F	C2Q26A Jun-26 2026/4F	C3Q26A Sep-26 2027/1F	C4Q26E Dec-26 2027/2F	C1Q27E Mar-27 2027/3F	C2Q27E Jun-27 2027/4F	C3Q27E Sep-27 2028/1F	C4Q27E Dec-27 2028/2F	C1Q28E Mar-28 2028/3F	C2Q28E Jun-28 2028/4F	CY2024 Dec-24	CY2025 Dec-25	CY2026 Dec-26	CY2027 Dec-27	CY2028 Dec-28
Cash flows provided by (used for) operating activities:																	
Net income	$ 1,568.7	$ 1,594.0	$ 1,825.5	$ 2,277.3	$ 2,753.1	$ 2,934.8	$ 3,168.0	$ 3,406.1	$ 3,625.2	$ 3,765.5	$ 4,057.3	$ 4,269.7	$ 4,293.6	$ 6,213.4	$ 9,790.7	$ 13,964.8	$ 17,187.2
Adjustments to reconcile net income to net cash provided by operating activities:																	
Depreciation and amortization	101.6	103.9	116.3	119.6	122.1	122.1	127.8	132.1	138.6	145.3	152.3	159.7	368.8	401.4	480.1	543.9	655.1
Stock-based compensation expense	97.2	88.5	96.6	104.0	114.7	114.7	114.7	114.7	131.9	131.9	131.9	131.9	317.9	367.2	430.0	493.2	554.0
Tax effect from stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loss (gain) on equity investments, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Restructuring charges and asset impairments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gain/Loss on disposal of property, plant and equipment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income taxes	(62.9)	(31.0)	(19.5)	(175.8)	(55.3)	-	-	-	-	-	-	-	(277.6)	(265.5)	(250.5)	-	-
Other non-cash items	(1.9)	(20.0)	(2.9)	(8.0)	27.6	-	-	-	-	-	-	-	(2.8)	(6.0)	16.8	-	-
Changes in current assets and liabilities:																	
Accounts receivable	-	-	-	(1,962.1)	-	(248.0)	(762.2)	135.9	(689.3)	305.2	(1,619.1)	1,021.7	303.4	(858.7)	(2,210.1)	(1,010.4)	(749.2)
Inventory	-	-	-	(93.9)	-	(80.1)	(134.1)	(205.6)	(175.3)	(109.7)	(173.5)	(209.9)	528.7	(180.7)	(174.0)	(624.8)	(494.2)
Income taxes receivable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current assets	-	-	-	50.2	-	-	-	-	-	-	-	-	(15.5)	(206.7)	50.2	-	-
Accounts payable	-	-	-	417.5	-	128.3	93.5	34.0	74.8	(6.7)	294.3	(157.1)	125.9	212.0	545.8	195.6	171.8
Accrued expenses and other current liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred revenues	-	-	-	(286.4)	-	-	-	-	-	-	-	-	(277.4)	1,147.8	(286.4)	-	-
Other changes in assets and liabilities	76.2	(255.5)	(874.6)	1,014.7	535.4	(1,375.8)	-	-	-	-	-	-	(807.3)	297.8	(700.4)	-	-
Net cash provided by operating activities	**1,779.0**	**1,480.0**	**1,141.4**	**1,457.2**	**3,497.7**	**1,595.9**	**2,607.8**	**3,617.2**	**3,105.8**	**4,231.5**	**2,843.1**	**5,216.1**	**4,557.7**	**7,121.9**	**7,692.2**	**13,562.2**	**17,324.7**
Cash flows from investing activities:																	
Capital expenditures, net	(185.1)	(260.9)	(331.6)	(188.8)	(257.7)	(271.0)	(288.2)	(306.0)	(322.3)	(331.3)	(354.2)	(372.0)	(503.3)	(906.2)	(1,049.1)	(1,247.8)	(1,492.9)
Transfer of restricted cash and investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase (sale) of available-for-sale securities, net	-	-	-	-	-	-	-	-	-	-	-	-	14.7	-	-	-	-
Purchase of long-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of intangible assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of business, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other investing activities	(0.9)	3.1	(3.0)	45.1	(9.3)	-	-	-	-	-	-	-	8.8	40.3	32.8	-	-
Net cash used for investing activities	**(186.0)**	**(257.8)**	**(334.6)**	**(143.7)**	**(267.0)**	**(271.0)**	**(288.2)**	**(306.0)**	**(322.3)**	**(331.3)**	**(354.2)**	**(372.0)**	**(479.9)**	**(866.0)**	**(1,016.3)**	**(1,247.8)**	**(1,492.9)**
Cash flows from financing activities:																	
Proceeds from (payments of) long-term debt	(1.4)	(1.5)	(751.2)	(1.4)	(34.5)	-	-	-	-	-	-	-	(4.0)	(508.4)	(787.0)	-	-
Proceeds from common stock issuances	-	-	13.0	4.4	4.3	-	-	-	-	-	-	-	10.8	2.7	21.7	-	-
Proceeds from (payments of) short-term debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Payment of dividends to stockholders	(292.0)	(327.5)	(325.8)	(325.3)	(325.4)	(372.6)	(371.2)	(369.7)	(423.2)	(421.3)	(419.5)	(417.8)	(1,082.8)	(1,210.4)	(1,349.1)	(1,585.4)	(1,792.4)
Treasury stock repurchases	(975.8)	(1,466.2)	(1,162.8)	(246.6)	(1,025.0)	(1,400.0)	(1,400.0)	(1,600.0)	(2,000.0)	(2,000.0)	(2,000.0)	(2,000.0)	(3,048.8)	(4,169.5)	(3,834.4)	(7,000.0)	(8,000.0)
Other financing activities	(12.4)	69.9	(3.8)	88.5	(1.8)	61.2	-	-	-	-	-	-	120.3	136.7	144.1	-	-
Net cash used for financing activities	**(1,281.6)**	**(1,725.2)**	**(2,230.6)**	**(480.3)**	**(1,382.4)**	**(1,711.4)**	**(1,771.2)**	**(1,969.7)**	**(2,423.2)**	**(2,421.3)**	**(2,419.5)**	**(2,417.8)**	**(4,004.5)**	**(5,748.9)**	**(5,804.7)**	**(8,585.4)**	**(9,792.4)**
Effect of exchange rate changes on cash and cash equiva	(7.1)	(13.3)	(5.0)	(2.1)	4.7	-	-	-	-	-	-	-	(21.4)	11.3	(2.4)	-	-
Cash and cash equivalents, beginning of period	**6,390.7**	**6,693.0**	**6,180.4**	**4,750.9**	**5,579.2**	**7,437.4**	**7,050.9**	**7,599.3**	**8,940.8**	**9,301.1**	**10,780.0**	**10,849.5**	**5,623.3**	**5,665.4**	**6,180.4**	**7,050.9**	**10,780.0**
Change in cash flow due to restatement	(1.8)	3.7	(0.7)	(2.9)	5.3								(9.8)	(3.1)	1.7	-	-
Net increase (decrease) in cash and cash equivalents	**304.2**	**(516.3)**	**(1,428.8)**	**831.1**	**1,852.9**	**(386.5)**	**548.3**	**1,341.5**	**360.3**	**1,479.0**	**69.4**	**2,426.3**	**51.9**	**518.2**	**868.8**	**3,729.1**	**6,039.3**
Cash and cash equivalents, end of period	**6,693.0**	**6,180.4**	**4,750.9**	**5,579.2**	**7,437.4**	**7,050.9**	**7,599.3**	**8,940.8**	**9,301.1**	**10,780.0**	**10,849.5**	**13,275.8**	**5,665.4**	**6,180.4**	**7,050.9**	**10,780.0**	**16,819.4**

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
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Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : O/I; 12/7/23 : E/C; 5/22/25 : E/I; 8/31/25 : U/I; 9/22/25 : E/I; 5/18/26 : O/I

Price Target History: 4/22/21 : 72.6; 10/21/21 : 71; 12/14/21 : 75.5; 1/26/22 : 73; 4/20/22 : 62.5; 7/24/22 : 55; 9/6/22 : 54.3; 10/17/22 : 42.9; 10/19/22 : 40.4; 1/26/23 : 55; 7/26/23 : 72; 1/24/24 : 86.6; 4/8/24 : 94.9; 4/24/24 : 94; 7/31/24 : 92.9; 9/16/24 : 77.4; 10/3/24 : 77; 10/23/24 : 76; 12/5/24 : 78; 1/29/25 : 81; 4/23/25 : 82; 7/1/25 : 87; 7/30/25 : 94; 8/31/25 : 92; 9/22/25 : 125; 10/22/25 : 137; 12/1/25 : 158; 1/15/26 : 211; 1/28/26 : 244; 2/24/26 : 254; 4/5/26 : 260; 4/22/26 : 293; 5/18/26 : 331; 7/6/26 : 404; 7/29/26 : 367; 10/5/26 : 385

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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Shane Brett		
Advanced Energy Industries Inc. (AEIS.O)	O (07/22/2026)	$247.55
Applied Materials Inc. (AMAT.O)	E (05/18/2026)	$408.94
Camtek (CAMT.O)	E (12/01/2025)	$133.09
KLA Corp (KLAC.O)	O (01/15/2026)	$163.43
Lam Research Corp (LRCX.O)	O (05/18/2026)	$260.81
MKS Inc. (MKSI.O)	O (08/04/2024)	$216.10
Nova Ltd (NVMI.O)	E (12/01/2025)	$331.22
ONTO Innovation Inc (ONTO.N)	O (06/14/2026)	$222.14
Teradyne Inc (TER.O)	E (07/30/2025)	$345.49

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